

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	))))	Docket No. RM26-4-000
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COMMENTS OF ONCOR ELECTRIC DELIVERY COMPANY LLC

Pursuant to the notice inviting comments issued by the Federal Energy Regulatory Commission (“FERC” or the “Commission”) on October 27, 2025 in the above-captioned docket and the November 7, 2025 notice extending the comment deadlines, Oncor Electric Delivery Company LLC (“Oncor”) provides the following comments on the advanced notice of proposed rulemaking (“ANOPR”) regarding large load interconnection proposed by Secretary of Energy Chris Wright on October 23, 2025.

As an electric transmission and distribution utility that operates solely within Texas and is not a “public utility” under section 201(e) of the Federal Power Act (“FPA”) subject to plenary FERC jurisdiction, Oncor takes no position at this time on the merits of the reforms proposed in the ANOPR or the Commission’s legal authority to implement such reforms under FPA sections 201, 205, and 206. However, Oncor encourages the Commission to make clear that any rule on large load interconnection it issues in this proceeding does *not* apply to entities like the Electric Reliability Council of Texas, Inc. (“ERCOT”) and market participants operating solely within ERCOT that are not “public utilities” under FPA section 201(e). In any rule issued in this proceeding, the Commission should carefully define key terms and avoid unnecessary references to provisions like FPA section 215 that apply to entities that are not jurisdictional “public utilities” and thus could

create uncertainty—and raise challenging legal questions—regarding the reach of the new rule.

I. COMMUNICATIONS

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II. COMMENTS

Since the passage of FPA Part II in 1935,² the Texas Interconnection has been operated in a manner that allows utilities in the state to avoid becoming subject to plenary FERC jurisdiction as “public utilities,” as that term is defined in FPA section 201.³ In arguing that the Commission has authority to adopt its proposals on large load interconnection, the ANOPR generally seems to rely on the Commission’s authority over transmission and wholesale sales of electric energy in interstate commerce *by public*

¹ Oncor respectfully requests waiver of 18 C.F.R. § 385.203(b)(3) to permit the designation of more than two persons upon whom service is to be made in this proceeding.

² As used in these comments, “FPA” generally refers to Part II of the Federal Power Act unless otherwise specified.

³ 16 U.S.C. § 824(e); *see infra* Part II.A.

utilities under FPA sections 201, 205, and 206—meaning the proposed reforms should not apply to ERCOT and market participants operating solely within ERCOT (“ERCOT Entities”) since they are not public utilities under FPA section 201(e).⁴ However, certain aspects of the ANOPR raise the possibility that the proposed reforms could apply to the entire bulk-power system, as defined in FPA section 215, which does include ERCOT.⁵ Any rule the Commission issues in this proceeding should make clear that the reforms on large load interconnection do not apply to entities—like ERCOT and ERCOT Entities—that are not “public utilities” subject to the Commission’s plenary jurisdiction.⁶

A. ERCOT and ERCOT Entities Are Not “Public Utilities” Subject to Plenary Commission Jurisdiction Under the FPA

With certain limited exceptions, the core provisions of the FPA apply to “public utilities.”⁷ FPA section 201(e) defines “public utilities” as entities that own or operate facilities subject to FERC’s jurisdiction, excluding “facilities subject to such jurisdiction solely by reason of” certain specified sections of the FPA (including sections 210, 211, 212, and 215).⁸ The FPA generally grants FERC jurisdiction over “the transmission of electric energy *in interstate commerce* and ... the sale of electric energy at wholesale *in interstate commerce*” as well as “all facilities for such transmission or sale of electric energy,” subject to specific exceptions.⁹ As is notable here, FERC has authority under

⁴ See *infra* Part II.B.

⁵ *Id.*

⁶ See *infra* Part II.C.

⁷ See, e.g., 16 U.S.C. §§ 824b, 824d, 824e.

⁸ *Id.* § 824(e).

⁹ *Id.* § 824(b)(1) (emphasis added).

FPA sections 205 and 206 to ensure the rates charged *by public utilities* for transmission or sales of electric energy subject to FERC’s jurisdiction (and rules, regulations, practices, or contracts affecting such rates) are just and reasonable and not unduly discriminatory or preferential.¹⁰ Given the extent of FERC authority over “public utilities,” we refer to such entities as being subject to FERC’s “plenary” jurisdiction.¹¹

ERCOT and ERCOT Entities are not “public utilities” subject to plenary FERC jurisdiction because (1) the ERCOT grid is located solely within the state of Texas and (2) the transmission and wholesale sales of electric energy in interstate commerce between ERCOT and other regions only occur pursuant to FERC orders issued under FPA section 211.¹² FPA section 211 authorizes FERC to order a “transmitting utility”—which need not be a “public utility” under section 201(e)—to provide transmission services.¹³ To allow

¹⁰ *Id.* §§ 824d, 824e.

¹¹ *See, e.g., AEP Energy Partners, Inc.*, 164 FERC ¶ 61,056 at PP 2-3 (2018) (“*AEP Energy*”).

¹² *See AEP Energy*, 164 FERC ¶ 61,056; *City of Coll. Station*, 137 FERC ¶ 61,230 (2011); *Kiowa*, 99 FERC ¶ 61,251; *Central Power and Light Co.*, 40 FERC ¶ 61,077 (1987); *Central Power and Light Co.*, 17 FERC ¶ 61,078 (1981); *see also S. Cross Transmission LLC*, 137 FERC ¶ 61,206 (2011), *final order*, 147 FERC ¶ 61,113 (2014); *Brazos Elec. Power Coop., Inc.*, 118 FERC ¶ 61,199 (2007), *order terminating obligations*, 119 FERC ¶ 61,252 (2007). In many of these orders, FERC also directed the establishment of interconnections using its FPA section 210 authority. These orders also involved section 212, which provides additional requirements relating to FERC’s authority under sections 210 and 211. As with section 211, compliance with orders issued under sections 210 and 212 cannot cause an entity to become a “public utility” subject to the Commission’s plenary jurisdiction. *See* 16 U.S.C. § 824(b)(1), (e).

¹³ 16 U.S.C. § 824j. “Transmitting utility” is defined as “an entity ... that owns, operates, or controls facilities used for the transmission of electric energy—(A) in interstate commerce; (B) for the sale of electric energy at wholesale.” *Id.* § 796(23). FPA section 210 allows FERC to order an “electric utility” to establish interconnections. *Id.* § 824i. “Electric utility” is defined as “a person or Federal or State agency ... that sells electric energy.” *Id.* § 796(22). There is no requirement that an entity must be a “public utility” to qualify as an “electric utility” or a “transmitting utility” that may be subject to an order under section 210 or section 211, respectively.

“transmitting utilities” that are not subject to plenary FERC jurisdiction to carry out section 211 orders without disrupting the jurisdictional *status quo*, FPA section 201(b)(2) provides that compliance with FERC orders issued under section 211 “shall not make an electric utility or other entity subject to” the Commission’s plenary jurisdiction.¹⁴ Likewise, section 201(e) excludes from the definition of “public utility” entities that own or operate facilities “subject to the jurisdiction of the Commission ... solely by reason of” section 211.¹⁵ Accordingly, ERCOT and ERCOT Entities are *not* subject to plenary FERC jurisdiction and are *not* FERC-jurisdictional “public utilities” as that term is defined in FPA section 201(e).¹⁶

In addition to section 211, ERCOT and ERCOT Entities are subject to certain other provisions of the FPA whose application is not limited to “public utilities.” As is most relevant here, ERCOT and its members are subject to FPA section 215, which grants FERC and the North American Electric Reliability Corporation (“NERC”), in its role as the Electric Reliability Organization (“ERO”), authority to establish and enforce mandatory reliability standards for the bulk-power system.¹⁷ As with section 211, compliance with

¹⁴ 16 U.S.C. § 824(b)(2); *see AEP Energy*, 164 FERC ¶ 61,056 at P 2 n.3 (“Section 201(b)(2) of the FPA states that compliance with Commission orders under sections 210 and 211 shall not make an entity subject to Commission jurisdiction for any purposes other than the purposes specified in those orders.”).

¹⁵ 16 U.S.C. § 824(e).

¹⁶ *See AEP Energy*, 164 FERC ¶ 61,056 at P 15 (noting that ERCOT transmission owners and operators “own and operate transmission facilities that are used for the sale of electric energy at wholesale and, as a result of Commission directives in *Central Power and Light*, they own and operate ERCOT facilities that are used for the transmission of electric energy in interstate commerce,” and explaining that the exercise of FERC’s authority to order transmission service under section 211 “will not cause any ERCOT utility that is not already a public utility to become a public utility under Part II of the FPA”).

¹⁷ 16 U.S.C. § 824o.

an order or rule issued under section 215 cannot cause an entity to become subject to the Commission’s plenary jurisdiction as a “public utility” under section 201(e).¹⁸

The continued independence of ERCOT and ERCOT Entities from plenary federal jurisdiction is the result of long-standing and deliberate choices by Texas utilities and policymakers¹⁹—choices that federal officials have recognized and respected. Congress has repeatedly acknowledged the importance of maintaining Texas’s exemption from full jurisdiction.²⁰ Indeed, sections 210 and 211 were added to the FPA in part to allow the Commission to order connections to be established between ERCOT and the Southwest

¹⁸ See *id.* § 824(b)(2), (e).

¹⁹ See *W. Tex. Utils. Co. v. Tex. Elec. Serv. Co.*, 470 F. Supp. 798, 808 (N.D. Tex. 1979); Richard D. Cudahy, *The Second Battle of the Alamo: The Midnight Connection*, 10 Nat. Res. & Env’t 56 (1995) (“Cudahy”); see also, e.g., ERCOT, *Board Report on NPRR No. 861: Clarification of ERCOT’s Authority to Protect Its Jurisdictional Status* at 2 (Feb. 20, 2018), https://www.ercot.com/files/docs/2018/02/20/861NPRR-09_Board_Report_022018.doc (adopting, at the direction of the Public Utility Commission of Texas (“PUC”), Nodal Protocols providing that ERCOT “can and will take all actions necessary to preserve the jurisdictional status quo and avoid causing any Entity that is not a public utility under the FPA to become such a public utility”).

²⁰ See 138 Cong. Rec. H3627 (daily ed. May 20, 1992) (statement of Rep. Dingell) (“The ability of the Texas PUC to continue to regulate Texas utilities is of great importance.”); 138 Cong. Rec. H3626 (daily ed. May 20, 1992) (statement of Rep. Hall) (explaining that “the situation in Texas is truly a unique situation” in that “Interstate Commerce subject to Federal regulation simply does not take place, and therefore ERCOT utilities are not subject to the Federal Energy Regulatory Commission authority that would normally occur pursuant to the Federal Power Act” and that “taking away the authority of the Texas PUC to govern power transactions which occur wholly within ERCOT . . . would be punishing the most progressive State regulatory authority in the country with respect to electricity generation and transmission”); Jared M. Fleisher, *ERCOT’s Jurisdictional Status: A Legal History and Contemporary Appraisal*, 3 Tex. J. Oil, Gas & Energy L. 4, 20 (2008) (noting that observers have characterized the Energy Policy Act of 2005 “as a congressional reaffirmation of ERCOT’s exemption from the full panoply of federal ‘public utility’ regulations.”); 16 U.S.C. §§ 824p(k), 824q(h) (specifically exempting ERCOT from new provisions on siting of interstate electric transmission facilities and native load service obligations, respectively).

Power Pool without subjecting ERCOT to plenary federal jurisdiction.²¹ The Commission has noted its “recognition that Congress has made special exceptions for ERCOT utilities.”²² And industry experts have observed that ERCOT’s regulatory model provides unique benefits in policy implementation and market design.²³

²¹ 124 Cong. Rec. S17,808 (1978) (statement of Sen. Bartlett); *see* Cudahy at 85 (“[C]ertainly much of the political impetus—perhaps the decisive force behind the provisions—were the forces seeking the interconnection of ERCOT and the Southwest Power Pool.”). Additionally, section 212 was amended in 1992 to include a provision specifically recognizing the authority of the PUCT with respect to rates for transmission within ERCOT. The Energy Policy Act of 1992, Pub. L. No. 102-468, § 722, 106 Stat. 2776 (1992) (codified at 16 U.S.C. § 824k(k)(1)).

²² *Sharyland Utils., L.P.*, 121 FERC ¶ 61,006 at P 18 (2007) (“*Sharyland*”); *see also Transactions Subject to FPA Section 203*, Order No. 669, FERC Stats. & Regs. ¶ 31,200 at P 71 (2005) (cross referenced at 113 FERC ¶ 61,315) (recognizing that “transactions involving ... ERCOT would involve matters outside our expertise and the core focus of Part II of the FPA”), *order on reh’g*, Order No. 669-A, FERC Stats. & Regs. ¶ 31,214 (2006) (cross referenced at 115 FERC ¶ 61,097), *order on reh’g*, Order No. 669-B, FERC Stats. & Regs. ¶ 31,225 (2006) (cross referenced at 116 FERC ¶ 61,076) (codified at 18 C.F.R. pts. 2, 33).

²³ David B. Spence, *Introduction to ERCOT’s Jurisdictional Status*, 3 Tex. J. Oil, Gas & Energy L. 1, 1 (2008) (“As the United States and Europe continue to experiment with competitive electricity markets, many commentators see Texas’ market as one of the success stories in this grand experiment.... Naturally, many wonder whether some part of the [success] lies in the unification of regulatory jurisdiction over Texas’ wholesale and retail markets in the Public Utilit[y] Commission of Texas (PUCT), rather than the bifurcated regulatory system that prevails elsewhere in the United States.”); Parviz Adib & Jay Zarnikau, *Texas: The Most Robust Competitive Market in North America*, Electricity Market Reform: An International Perspective 383, 385 (Fereidoon P. Sioshansi & Wolfgang Pfaffenberger eds., 2006) (explaining that the PUCT’s exclusive authority over the electricity market in ERCOT “has resulted in greater coherence in the retail and wholesale markets, more regulatory certainty, and closer coordination between Legislative authorities and regulators involved in restructuring the electric industry within ERCOT”).

B. The ANOPR's Proposed Reforms on Large Load Interconnection Do Not Seem to Be Intended to Reach ERCOT, but Certain Language Could Support Broad Application

For the most part, the ANOPR's arguments that the Commission has authority to adopt the proposed reforms on large load interconnection generally seem to be based on FERC's authority over transmission and wholesale sales of electric energy in interstate commerce by public utilities under FPA sections 201, 205, and 206.²⁴ Notably, the section of the ANOPR on "Legal Authority" provides four specific justifications for Commission action, which appear to be rooted in FPA section 201 and FERC's section 205 and 206 authority over public utilities' terms of providing transmission service and practices affecting the rates of wholesale sales.²⁵ If FERC acts on those grounds, the reforms to

²⁴ See *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000, Secretary of Energy's Proposed Advanced Notice of Proposed Rulemaking at P 2 (sent Sept. 23, 2025) ("ANOPR") (background section concerning FERC's jurisdiction that is focused on FPA section 201); *id.* at PP 3-11 (background section discussing prior FERC orders on open-access transmission service and generator interconnection that were promulgated under sections 205 and 206 pursuant to FERC's jurisdiction over public utility transmission providers); *id.* at P 18 (noting that reforms should only apply to "transmission facilities" to avoid disrupting established jurisdictional limits); *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000, Letter from Secretary of Energy Chris Wright to FERC Chairman David Rosner et al. re: Secretary of Energy's Direction That the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act at 1 (sent Oct. 23, 2025) ("Directive Letter") (focusing on large loads "served by public utilities" and referencing FERC's section 201 jurisdiction over transmission of electric energy in interstate commerce as the basis for its authority to implement the proposed reforms).

²⁵ See ANOPR at P 13 & n.32 (highlighting relationship between large load interconnection and open-access, non-discriminatory transmission service, seemingly drawing on FPA section 206, and referencing Orders No. 2003 and 2023, which were promulgated pursuant to FPA sections 205 and 206); *id.* at P 14 & n.33 (referencing FERC's authority over "practice[s] directly affecting Commission-jurisdictional wholesale electricity rates," referencing a case on FERC's authority under FPA sections 205 and 206, and citing FPA section 205); *id.* at P 15 (discussing respect for the reservation of state authority over generation and retail sales to end-use customers under FPA section

large load interconnection processes should *not* reach ERCOT or ERCOT Entities as they are not “public utilities” under FPA section 201(e).

However, certain aspects of the ANOPR leave open the possibility that the proposed reforms could apply more broadly. The ANOPR does not unambiguously identify the specific statutory basis for FERC’s authority to implement the proposed reforms. It also does not specifically exempt (or otherwise mention) ERCOT or expressly limit the proposed reforms to “public utilities.”²⁶ Moreover, the ANOPR is framed as proposing “reforms to ensure the timely and orderly interconnection of large loads *to the transmission system*.”²⁷ In a footnote, the ANOPR explains that the term “transmission system” is used “interchangeably” with “bulk power system.”²⁸ That same footnote discusses how FPA section 215 defines the term “bulk-power system” and provides FERC and NERC authority to establish mandatory reliability standards for the bulk-power system.²⁹ This reference to section 215 could be read as expanding the applicability of the ANOPR’s proposed large load interconnection reforms to entities like ERCOT and

201(b)(1)); *id.* at P 16 (invoking FERC’s “exclusive jurisdiction over the transmission of electric energy in interstate commerce, including the rates, terms, and conditions of transmission service, and all facilities for such transmission or sale of electric energy at wholesale in interstate commerce,” echoing language in FPA sections 201, 205, and 206).

²⁶ *But see* Directive Letter at 1 (urging FERC to act because “large loads, including AI data centers, *served by public utilities* must be able to connect to the transmission system in a timely, orderly, and non-discriminatory manner”) (emphasis added).

²⁷ ANOPR at P 1 (emphasis added, footnotes omitted); *see also id.* at PP 14, 15, 24 (also framing proposed reforms as addressing interconnection of large loads “to the transmission system”).

²⁸ *Id.* at P 1 n.2.

²⁹ *Id.*

ERCOT Entities that are not “public utilities” under FPA section 201(e) but do use, own, or operate facilities that are part of the bulk-power system.

C. The Commission Should Make Clear That Any Rule on Large Load Interconnection It Promulgates in This Proceeding Does Not Apply to ERCOT or ERCOT Entities That Are Not Public Utilities

If the Commission chooses to issue a rule in this proceeding that imposes new requirements for the interconnection of large loads, it should make clear that such a rule does not apply to entities—like ERCOT and ERCOT Entities—that are not “public utilities” subject to FERC’s plenary jurisdiction under FPA sections 201, 205, and 206. Many of the prior Commission rules on open-access transmission service and generator interconnection that were discussed in the ANOPR³⁰ provide a useful model. Those rules were promulgated pursuant to FERC’s authority under FPA sections 205 and 206 and apply to *public utility* transmission providers.³¹ In establishing the foundations for open-access

³⁰ See *id.* at PP 3-11.

³¹ See *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils.; Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.*, Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 4, 110 (1996) (cross-referenced at 75 FERC ¶ 61,080), *order on reh’g*, Order No. 888-A, FERC Stats. & Regs. ¶ 31,048 at 70, 84, 130 (1997) (cross-referenced at 78 FERC ¶ 61,220), *order on reh’g*, Order No. 888-B, 81 FERC ¶ 61,248 at 46, 103 (1997), *order on reh’g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff’d in relevant part sub nom. Transmission Access Pol’y Study Grp. v. FERC*, 225 F.3d 667, 687 (D.C. Cir. 2000), *aff’d sub nom. New York v. FERC*, 535 U.S. 1, 11 (2002); *Preventing Undue Discrimination & Preference in Transmission Serv.*, Order No. 890, FERC Stats. & Regs. ¶ 31,241 at PP 14, 22, 124, 143, 162 (2007) (cross-referenced at 118 FERC ¶ 61,119), *order on reh’g*, Order No. 890-A, FERC Stats. & Regs. ¶ 31,261 at PP 25, 172 (cross referenced at 121 FERC ¶ 61,297), *order on reh’g and clarification*, Order No. 890-B, 123 FERC ¶ 61,299 at P 6 (2008), *order on reh’g*, Order No. 890-C, 126 FERC ¶ 61,228 (2009), *order on clarification*, Order No. 890-D, 129 FERC ¶ 61,126 (2009); *Transmission Plan. & Cost Allocation by Transmission Owning & Operating Pub. Utils.*, Order No. 1000, FERC Stats. & Regs. ¶ 31,323 at PP 484, 495 (2011) (cross-referenced at 136 FERC ¶ 61,051), *order on reh’g & clarification*, Order No. 1000-A, 139 FERC ¶ 61,132 at PP 1, 151 (2012), *order on reh’g & clarification*, Order No. 1000-B, 141 FERC ¶ 61,044 at PP 1, 33, 39 (2012), *aff’d sub nom. S.C. Pub. Serv.*

transmission service, FERC in Order No. 888, clearly acknowledged and expressly respected the limits of the Commission’s authority regarding entities that are not “public utilities” under FPA section 201(e).³² In any rule the Commission chooses to promulgate in this proceeding, the Commission should draw on the language in these prior orders to unambiguously explain the statutory basis for its actions and make clear that the reforms to interconnection processes do not apply to entities that are not “public utilities,” as that term is defined in FPA section 201(e).

The Commission should avoid unnecessary uncertainty—and challenging legal questions—about the applicability of any rule it issues in this proceeding by carefully defining key terms. Although the reforms proposed in the ANOPR seem to be based on FERC’s authority over jurisdictional public utilities under FPA sections 201, 205, and 206,

Auth. v. FERC, 762 F.3d 41, 58-59 (D.C. Cir. 2014); *Building for the Future Through Elec. Reg’l Transmission Plan. & Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068 at PP 1, 279, *order on reh’g & clarification*, Order No. 1920-A, 189 FERC ¶ 61,126 at P 135 (2024), *order on reh’g & clarification*, Order No. 1920-B, 191 FERC ¶ 61,026 at P 48 (2025), *appeal docketed sub nom. Appalachian Voices v. FERC*, No. 24-1650 (4th Cir. pet. consolidated Aug. 8, 2024); *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, FERC Stats. & Regs. ¶ 31,146 at P 7 (2003) (cross-referenced at 104 FERC ¶ 61,103), *order on reh’g*, Order No. 2003-A, FERC Stats. & Regs. ¶ 31,160 at P 699 (2004) (cross-referenced at 106 FERC ¶ 61,220), *order on reh’g*, Order No. 2003-B, FERC Stats. & Regs. ¶ 31,171 (2004) (cross-referenced at 109 FERC ¶ 61,287), *order on reh’g*, Order No. 2003-C, FERC Stats. & Regs. ¶ 31,190 at P 18 (2025) (cross referenced at 111 FERC ¶ 61,401), *aff’d sub nom. Nat’l Ass’n of Regulated Util. Comm’rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007); *Reform of Generator Interconnection Procs. & Agreements*, Order No. 845, 163 FERC ¶ 61,043 at PP 6, 555, 556, 558 (2018), *order on reh’g*, Order No. 845-A, 166 FERC ¶ 61,137 at PP 23, 29, *order on reh’g*, Order No. 845-B, 168 FERC ¶ 61,092 (2019); *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054 at P 37, *order on reh’g*, 185 FERC ¶ 61,063 (2023), *order on reh’g*, Order No. 2023-A, 186 FERC ¶ 61,199 at PP 1, 35, 46, *errata notice*, 188 FERC ¶ 61,134 (2024).

³² See, e.g., Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 295 (“Our authority under sections 205 and 206 of the FPA permits us to require only public utilities to file open access tariffs as a remedy for undue discrimination. We have no authority under those sections of the FPA to require non-public utilities to file tariffs with the Commission.”).

the ANOPR defines the term “transmission system” based on section 215’s definition of “bulk-power system.”³³ This raises questions about the potential applicability of the proposed reforms to entities like ERCOT and ERCOT Entities that are not “public utilities” under FPA section 201(e) but do own or operate facilities that are part of the “bulk-power system” subject to FPA section 215. Oncor believes there may be value in NERC and FERC exercising their authority under FPA section 215 to address the impact of large loads on the reliable operation of the bulk-power system. Oncor therefore does not oppose the ANOPR’s recommendation that “NERC should review its reliability standards to determine if new registration categories or new or modified reliability standards are required to ensure reliability of the [Bulk Electric System].”³⁴ However, most of the reforms recommended in the ANOPR focus specifically on large load interconnection processes as they relate to FERC-jurisdictional open-access transmission service and rates for wholesale sales of electric energy in interstate commerce. The ANOPR does not attempt to argue that the Commission has authority to implement such proposed reforms based on its section 215 reliability jurisdiction—and such an argument could raise serious legal questions given the statutory limits of section 215.³⁵ To avoid such challenging legal

³³ See ANOPR at P 1 & n.2.

³⁴ *Id.* at P 31.

³⁵ For instance, section 215 allows FERC to approve reliability standards “to provide for reliable operation of the bulk-power system,” but specifies that such standards may not “include any requirement to enlarge [bulk-power system] facilities or to construct new transmission capacity or generation capacity.” 16 U.S.C. § 824o(a)(3). The savings provisions underscore that section 215 “does not authorize the ERO or the Commission to order the construction of additional generation or transmission capacity or to set and enforce compliance with standards for adequacy or safety of electric facilities or services.” *Id.* § 824o(i)(2). Additionally, while FERC has authority under FPA section 215 to approve mandatory reliability standards, NERC as the ERO has responsibility for developing such reliability standards. See *id.* § 824o(d), (i)(1).

questions and remove uncertainty regarding applicability, any rule the Commission issues in this proceeding should refine this aspect of the ANOPR by carefully tailoring the definitions of key terms. Such definitions should align with specific statutory authority on which the Commission is relying in promulgating its rule (or specific components thereof). In defining key terms, the Commission should avoid unnecessary references to provisions like FPA section 215 that apply to entities that are not public utilities subject to plenary Commission jurisdiction.

While Oncor takes no position on the merits of the reforms proposed in the ANOPR or the question of whether the Commission in fact has authority under FPA sections 201, 205, and 206 to adopt the ANOPR's proposed reforms, we note that limiting applicability of any rule on large load interconnection to "public utilities" would be consistent with the apparent intent of the ANOPR. As discussed above, the ANOPR's arguments in favor of Commission regulation of large load interconnections generally seem to be premised on FERC's authority over transmission and wholesale sales of electric energy in interstate commerce by "public utilities" under FPA sections 201, 205, and 206.³⁶ A large load interconnection rule that applies only to FERC-jurisdictional "public utilities" also would comport with Secretary Wright's letter directing the Commission to initiate this rulemaking proceeding, which urged Commission action on the grounds that "large loads, including AI data centers, *served by public utilities* must be able to connect to the transmission system in a timely, orderly, and non-discriminatory manner."³⁷ This approach also is consistent with the ANOPR's proposed principle that the Commission should limit its assertion of

³⁶ See *supra* notes 24–25 and accompanying text.

³⁷ Directive Letter at 1 (emphasis added).

jurisdiction to “interconnections directly to transmission facilities” in order to avoid overstepping established jurisdictional boundaries.³⁸

A large load interconnection rule that clearly and carefully avoids imposing new requirements on ERCOT and ERCOT Entities also would align with longstanding recognition of the value of ERCOT’s independent status. As discussed above, Texas utilities and policymakers have consistently operated the ERCOT grid in a manner that avoids triggering plenary federal jurisdiction under the terms of the FPA. Both Congress and this Commission have recognized and respected that choice. ERCOT’s independence from plenary Commission jurisdiction allows for unique and innovative regulatory and market structures—indeed, Texas has been a leader in establishing new regulatory paradigms for interconnecting and serving large load customers.³⁹ In responding to the Secretary’s directive, the Commission should ensure that any rule on large load interconnection that it promulgates in this proceeding reflects this precedent and clearly

³⁸ ANOPR at P 18. While this paragraph acknowledges an important principle, it may not on its own provide full protection for ERCOT and ERCOT Entities since there is transmission of electric energy in interstate commerce between ERCOT and other regions, as provided for in prior section 211 orders.

³⁹ See S.B. 6, 89th Leg., Reg. Sess. (Tex. 2025); ERCOT, *NPRR1234: Interconnection Requirements for Large Loads and Modeling Standards for Loads 25 MW or Greater* (May 15, 2025), <https://www.ercot.com/files/docs/2025/05/15/1234NPRR-26-PUCT-Report-051525.docx>; ERCOT, *PGRR115: Related to NPRR1234, Interconnection Requirements for Large Loads and Modeling Standards for Loads 25 MW or Greater* (May 15, 2025), <https://www.ercot.com/files/docs/2025/05/15/115PGRR-30-PUCT-Report-051525.docx>; Proposal for Publication of New 16 TAC § 25.205, *Rulemaking for Net Metering Arrangements Involving a Large Load Co-Located with an Existing Generation Resource Under PURA § 39.169*, Project No. 58479 (Tex. P.U.C. Sept. 18, 2025); Staff Memorandum and Questions for Public Comment, *Rulemaking to Implement Large Load Interconnection Standards Under PURA 37.0561*, PUCT Project No. 58481 (Tex. P.U.C. Sept. 12, 2025).

exempts entities—like ERCOT and ERCOT Entities—that are not “public utilities” under FPA section 201(e).

III. CONCLUSION

Oncor respectfully requests that the Commission consider these comments in contemplating the adoption of any rule in this proceeding.

Respectfully submitted,

/s/ John N. Estes III

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November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Washington, D.C. this 21st day of November, 2025.

/s/ *Juliana Brint*

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